

Employing in Austria

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts referencing the applicable Kollektivvertrag (sector collective agreement)
- **Monthly payroll** — salary payments in EUR, itemised Lohnzettel, 13th and 14th month salaries
- **Tax withholding** — Lohnsteuer withheld and remitted to the Finanzamt
- **Social insurance & Mitarbeitervorsorgekasse** — the ÖGK contribution stack and portable severance fund
- **Leave and termination management** — notice periods, entitlements and Abfertigung guidance

Employment Conditions

Contracts & Probation

Austria has no statutory national minimum wage — sectoral Kollektivverträge, negotiated through a strong social-partnership system, cover roughly 95% of the workforce and set binding pay floors (a social-partnership agreement guarantees at least €2,000 gross/month for full-time work across virtually all sectors).

Item	Detail	Legal Basis
No statutory national minimum wage	Set via sectoral Kollektivverträge; social-partnership floor of €2,000/month across virtually all sectors	Collective bargaining
Probation period	Maximum 1 month, either party may terminate without notice or reason	Employment Contract Law
13th/14th month salary	Near-universal via Kollektivvertrag, paid in June and November	Sector CBA

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	8 hrs/day, 40 hrs/week (many CBAs set 38.5)	Working Hours Act (Arbeitszeitgesetz)
Overtime premium	150% of hourly rate (typical, CBA-dependent)	Applicable Kollektivvertrag
Jahressechstel	13th/14th salary taxed at a flat preferential 6% (up to a cap) instead of marginal rate	Income Tax Act

Employer Social Costs (2026)

Contribution	Employer Rate	Notes
Social insurance (health, pension, unemployment, accident)	~20.98% of gross salary	Health 3.78%, pension 12.55%, unemployment 2.95%, accident 1.1%, minor contributions 0.6%; capped at a monthly base of €6,930
Family Burden Equalisation Fund (FLAF)	3.7% of total payroll	Reduced from 3.9% effective January 2025
Municipal Payroll Tax (Kommunalsteuer)	3% of total payroll	Employer-only, paid to the local municipality (Gemeinde)
Severance Fund (Mitarbeitervorsorgekasse)	1.53% of gross salary	Portable individual account from month 2 of employment; employee can access after 3 years or on any termination

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	25 working days/year (30 after 25 years' service)	Employer	Vacation Act (Urlaubsgesetz) minimum; many CBAs offer more
Sick Leave	Full pay for 6–12 weeks depending on tenure, then reduced pay	Employer	Entgeltfortzahlungsgesetz; scales with length of service
Maternity Leave	16 weeks (8 before + 8 after birth, mandatory)	Health insurance fund (Wohengeld)	Working during the protection period is generally prohibited
Parental Leave	Up to 2 years (Elternkarenz), job-protected	Unpaid; Kinderbetreuungsgeld available from the family fund	Can be shared between parents

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Social insurance (20.98%)	\$629.40	20.98%
FLAF (3.7%)	\$111.00	3.70%

Kommunalsteuer (3%)	\$90.00	3.00%
Severance Fund (1.53%)	\$45.90	1.53%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,476.30	~149.2%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. This excludes the 13th/14th month salaries, which add roughly 16.7% in annualised cost typical of Austrian employment — a realistic all-in multiplier is often around 1.3x gross salary. Employee deductions (withheld separately) include social insurance (~18% employee share) and progressive Lohnsteuer.

Income Tax (Lohnsteuer, 2026)

Austrian income tax is progressive, climbing from 0% to 55% at the top marginal rate. The 13th and 14th salaries benefit from the preferential flat 6% Jahressechstel rate up to a cap, rather than the employee's regular marginal rate.

Termination & Separation

Notice & Severance (Abfertigung Neu)

Since 2003, Austria has operated a fully portable severance system — employers contribute 1.53% of gross monthly salary (including special payments) into each employee's individual account with a licensed Mitarbeitervorsorgekasse (severance fund), which the employee can access as a lump sum after 3 years of continuous contributions, or transfer to a new employer.

Item	Detail	Key Rule
Severance fund contribution	1.53% of gross salary, from month 2 of employment	Portable — follows the employee between employers
Access to accumulated funds	After minimum 3 years' contribution, or on termination	Abfertigung Neu system
Collective dismissal notification	30 days' advance notice to the Austrian Employment Service (AMS)	Required for 5+ redundancies in companies with 21–99 staff
Mutual termination	Available at any time by written agreement, without notice restrictions	Employment Contract Law

★ HERO TIP

Austria's portable Abfertigung Neu severance fund is genuinely different from most European severance systems — it accrues continuously as a defined contribution regardless of why employment ends, rather than being a lump-sum liability calculated only on dismissal. Factor the 1.53% into standing payroll cost from day one rather than treating it as a termination-specific expense.

Public Holidays 2026

Austria observes 13 national public holidays in 2026, reflecting its strong Catholic tradition.

Date	Holiday	Type
1 January	New Year's Day	National
6 January	Epiphany	National
6 April	Easter Monday	National
1 May	Labour Day	National
14 May	Ascension Day	National
25 May	Whit Monday	National
4 June	Corpus Christi	National
15 August	Assumption Day	National
26 October	National Day	National
1 November	All Saints' Day	National
8 December	Immaculate Conception	National
25–26 December	Christmas Day and St. Stephen's Day	National

Ready to hire in Austria?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Austria employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).